



December 26, 2023

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VIA EMAIL

Dr. Kristen Monaco
Director, Bureau of Trade Analysis
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

RE: **URGENT** – Request for Special Permission on behalf of
MSC Mediterranean Shipping Company SA, Org No. 001699

Dear Dr. Monaco:

Pursuant to 46 C.F.R. §520.14, MSC Mediterranean Shipping Company SA, Org. No. 001699 (“MSC”) respectfully requests special permission to deviate from 46 C.F.R. §520.8(a) and to implement a Contingency Adjustment Charge (“CAC”) on less than thirty (30) days’ notice. The reasons for this request are set forth below.

As a global carrier, MSC operates services between the U.S. Atlantic and Gulf Coasts and various locations around the world, including the Middle East, the Indian Subcontinent, Australia/New Zealand, and Africa. The services between the U.S. Atlantic and Gulf Coasts and the aforementioned locations have historically transited the Suez Canal, which provides a shorter, faster and less expensive alternative to sailing around the southern cape of Africa.

As the Commission is aware, in recent days there have been a number of attacks on vessels transiting the narrow strait at the south end of the Red Sea. (See https://www.joc.com/article/hapag-lloyd-vessel-hit-red-sea-choke-point_20231215.html).

These attacks have made it too dangerous to continue operating services via the Suez Canal. MSC has decided instead to route its vessels around Africa for safety of the crews, vessels, and cargo. Diverting vessels away from the Suez Canal and sailing around Africa significantly lengthens the voyage between the locations in question and the U.S. Atlantic and Gulf Coasts, and significantly increases the cost of providing this service.

In an effort to recover these costs, MSC has published a CAC of U.S.\$1500 per TEU in Rule 10-CV of its tariff MESU-012 (covering the Middle East, Indian Subcontinent and Africa)

and in Rule 10-AP of its tariff MESU-033(covering Australia/New Zealand). Copies of both tariff rules are attached. The CAC is scheduled to become effective January 18, 2024. However, unless the effective date of this new surcharge is advanced, MSC will be unable to begin recovering the increased costs it is presently experiencing for three full weeks.

Accordingly, MSC respectfully requests that it be granted special permission to advance the effective date of the CAC to the earliest possible date.

The filing fee for this request has been paid electronically. The Pay.gov tracking ID is 27AE7SB0 and the Agency Tracking ID is 76586482410.

Thank you in advance for your favorable consideration of this request. Should you have any questions or require any further information, please do not hesitate to contact the undersigned.

Sincerely,

COZEN O'CONNOR

A handwritten signature in black ink, appearing to read "Wayne Rohde", written in a cursive style.

By: Wayne Rohde

WRR

Enclosure

Table: [CAC](#)
Assessorial: [CONTINGENCY ADJUSTMENT CHARGE \(CAC\)](#)

Filing Information: [View Filing History](#)

Filed: 21Dec2023
Effective: 20Jan2024
Expires:
Thru:

Amendment Type: A
Status: Filed
Special Case:

To highlight all occurrences of a word or phrase, enter one or more search words and click Find. All occurrences of the words will be highlighted in red.

Search Words:

To individually locate each occurrence of a word or phrase, press Ctrl+F and use your browser's Find Next function.

FOR THE PURPOSE OF THIS RULE, TERMS MERCHANT AND CARRIER HAVE THE MEANINGS SET FORTH IN CARRIERS CONTRACT OF CARRIAGE TERMS AND CONDITIONS (PLEASE REFER, FOR EXAMPLE TO CARRIERS CONTRACT OF CARRIAGE TERMS AND CONDITIONS IN RULE 8-B SEA WAYBILL AND RULE 8-A BILL OF LADING, MESU-012)
THE MERCHANT SHALL BE LIABLE FOR Contingency Adjustment Charge (**CAC**) AS SET FORTH BELOW AND REMAINS LIABLE UNTIL THE SAID CHARGES HAVE BEEN PAID IN FULL:

Effective as from January 18th, 2024 a Contingency Adjustment Charge (**CAC**) will be applicable for all cargo ex. India, Pakistan, Sri Lanka, Bangladesh, Maldives going to USA East Coast & Gulf and San Juan (Puerto Rico) with the following quantum:

Usd 1500 x container , applicable for all equipment types

Effective as from January 18th, 2024 a Contingency Adjustment Charge (**CAC**) will be applicable for all cargo ex. Saudi Arabia (only Dammam & Jubail), Bahrain, Kuwait, Iraq, Qatar, Oman, United Arab Emirates, going to USA East Coast & Gulf and San Juan (Puerto Rico) with the following quantum:

Usd 1500 x container , applicable for all equipment types

Effective as from January 18th, 2024 a Contingency Adjustment Charge (**CAC**) will be applicable for all cargo from Red Sea: Yemen, Jordan, Djibouti, Saudi Arabia (King Abdullah, Jeddah, NEOM (DUBA)), Jeddah, Egypt (Sokhna only)) to USA & Puerto Rico with following quantum:

USD 1500.- per TEU applicable to all equipment type

Effective as from January 18th, 2024 a Contingency Adjustment Charge (**CAC**) will be applicable for all cargo from Red Sea: Sudan,Port Sudan to USA & Puerto Rico with following quantum:

EUR 1500.- per TEU applicable to all equipment type

Effective as from January 18th, 2024 a Contingency Adjustment Charge (CAC) will be applicable for all cargo from KENYA TANZANIA SOMALIA to USA & Puerto Rico with following quantum:

USD 1500.- per TEU, applicable to all equipment type

For cargo from USA & Puerto Rico to Middle East and Gulf (United Arab Emirates, Bahrain, Saudi Arabia, Qatar, Kuwait, Oman, Iraq), India, Sri Lanka, Pakistan, Maldives, Bangladesh:

USD 1000 per 20' all equipment type

USD 1500.- per 40' all equipment type

Organization: MEDITERRANEAN SHIPPING COMPANY S.A.(001699)

Tariff: MSC Australia/New Zealand Freight Tariff & Rules (NB & SB)(MESU-033) view Detail

Rule: CONTINGENCY ADJUSTMENT CHARGE (CAC)(10- AP)

Assessorial: CONTINGENCY ADJUSTMENT CHARGE (CAC)

Filing Information: View Filing History

Filed: 20Dec2023

Effective: 18Jan2024

Expires:

Thru:

Amendment Type: C

Status: Filed

Special Case:

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THE MERCHANT SHALL BE LIABLE FOR Contingency Adjustment Charge (CAC) AS SET FORTH BELOW AND REMAINS LIABLE UNTIL THE SAID CHARGES HAVE BEEN PAID IN FULL:

Effective as from January 18th, 2024 a Contingency Adjustment Charge (CAC) will be applicable for all cargo ex. Australia, New Zealand, FIJI, New Caledonia and Papeete going to USA East Coast & Gulf and San Juan (Puerto Rico) with the following quantum:

Usd 1500 x container , applicable for all equipment types